

MBI — Pitch Deck (adjudicated 2026-08-23)

PITCH — MBI — VERDICT

PROPOSED — PENDING ADJUDICATION — a 0.25% starter in MBIA Inc. at ≤\$5.10 (tape \$4.90), sized as a cheap option on National's capital converting to cash faster than a decade; no order stages until FABLE adjudicates, because the red bench's REJECT (8/10 conviction) was wrong on structure but right that nothing dated resolves this year.

What we believe

MBIA Inc. is not an insurance company anymore. It is a holding company whose only real asset is a subsidiary — National Public Finance Guarantee — that stopped writing new business and is now just collecting premiums on old municipal bond policies and paying the occasional claim. National holds **\$968M of regulatory (statutory) capital**. The parent has **\$228M of its own bonds** outstanding and burns roughly **\$40M a year** keeping the lights on.

Subtract the parent's debt from National's capital and you get **\$740M, or \$14.51 per share**, against a stock at **\$4.90**. That is the whole idea: the market is paying 34 cents for a dollar of capital sitting in a subsidiary.

We do *not* believe that dollar is worth a dollar today. Getting it out is slow. New York insurance law caps what National can pay up to the parent each year, and our own bench put that number at roughly **\$50–97M/year** — call it a decade. Discount the \$740M over five years at 12% and net out the parent's annual burn and you get about **\$275M, or \$5.39/share**.

So the honest statement of the belief is narrower than “70% upside”: **the stock at \$4.90 is priced for a five-plus-year grind to full value, and we think there is a real, non-trivial chance it happens in two to three instead** — via a sale of National, an extraordinary dividend approved by the New York regulator, or a Puerto Rico recovery that adds cash on top. Any one of those re-rates the stock toward \$7.35+. None of them has a date.

What the market believes

Two things, and they are consistent with each other.

First, that the clock is long and uncertain. At \$4.90 the market is implicitly agreeing with the five-year-at-12% math almost exactly. That is not despair; it is patience priced correctly.

Second, that the balance sheet is scary. MBIA reports **negative book value of -\$45.52 per share** and **\$3.6 billion of debt** against a \$250M market value. Most screens stop there. The reason for the negative book is a separate, older subsidiary — MBIA Insurance Corp — whose “surplus notes” have been accruing interest at roughly SOFR + 11.5% since the regulator blocked all payments on them in January 2013. Roughly **\$953M of principal and ~\$1.6B of unpaid interest** now sit on the consolidated balance sheet (FY2025 10-K).

The two sell-side analysts who still cover the name both have **\$7 price targets** (KBW Buy, cut from \$7.50; Roth MKM Hold), with forecast losses of -\$0.50 and -\$0.45 per share in 2026 and 2027. So the professional view is “worth more, earns nothing, no timeline.”

Why we might have edge

1. The scary number is in the wrong pocket. MBIA Insurance Corp — where the \$2.6B of accruing notes live — is a *sister* company to National, not its parent. National has been a direct subsidiary of MBIA Inc. through National Holdings since the 2009 restructuring. The Q2 filing says it plainly: “*the absence of any cross defaults between the entities and the lack of reliance by MBIA Inc. on MBIA Corp. for dividends.*” The notes are also subordinated and legally unpayable without regulatory approval that has not come in thirteen years. They cannot reach into National’s \$968M. A screen that reads consolidated debt of \$3.6B against a \$250M market cap sees a zombie; the actual claim standing between us and National’s capital is \$228M, not \$2.8B.

2. The number that scares people compounds mechanically, which makes it look like deterioration when nothing is happening. Consolidated long-term debt rose from \$2,843M to \$2,915M in the first half of 2026 with **zero new borrowing**. That is just unpaid interest accruing in a ring-fenced box. Anyone running a “rising debt” filter gets a false positive every single quarter, forever.

3. There is a second, quieter channel around the dividend cap. The 10-K discloses an **Advances Agreement** under which National may lend to MBIA Inc. at SOFR + 0.512%. Neither bench sized it. If it is material, the “ten-year dividend ladder” is not the only route cash takes upstairs.

4. A price is about to become observable where none existed. In July 2026, roughly **\$30M of National’s Puerto Rico Electric Power Authority bankruptcy claims were transferred to a custodian in exchange for tradeable receipts**. That is ~8% of the remaining claim. When those receipts print, we get an outside, arms-length mark on what PREPA claims are worth — a number nobody currently has.

Why it might be priced in

Bluntly: mostly, it is.

- **The discount is not egregious.** \$4.90 against a \$5.39 five-year-conversion value is a 9% discount. That is not a mispricing; that is a fair price for a slow asset. The upside case requires the *timeline* to compress, and we have no evidence it will.
- **Two analysts at \$7 is a +43% gap to the tape, but two analysts is not a market.** Our blue bench called red's "we agree with the street" a coverage argument rather than a pricing argument, and that is fair — but it cuts both ways. Thin coverage means neither the \$7 nor the \$4.90 is a well-tested number.
- **Management is not buying.** There is a **\$71M buyback authorization and zero shares repurchased**, at a price 3.8% off the 52-week low and roughly a quarter of National's statutory capital. If the people who read National's statutory statements every month thought \$4.90 was 34 cents on the dollar, this is the cheapest possible way to say so. They aren't saying it. (Partial defense: they paid **\$46M** of PREPA claims on 7/1/26 and have a **\$95M** bond maturing in 2027.)
- **Nothing dated resolves.** See below — the one calendar entry everyone points at is not a decision date.
- **The stock is 40.7% off its 52-week high and 3.8% off its low.** Being cheap is not a catalyst, and the tape says the market has been getting *less* interested, not more.

What could go wrong

Failure narrative 1 — The clock wins (most likely)

Nothing bad happens and we still lose. No sale of National, no extraordinary dividend, ordinary dividends of \$50–97M/year that roughly cover the parent's \$40M annual burn and the 2027/2028 bond maturities and nothing else. Parent liquidity has already gone from **\$357M to \$337M**. Five years from now the stock is \$5.20 and we've earned nothing while the market compounded. This is the boring, high-probability outcome and it is what the current price says.

Tripwire (monitorable): parent-company liquidity line in each 10-Q. Below \$250M, the "patient" thesis becomes a "forced" thesis. Also: National statutory capital declining two consecutive quarters.

Failure narrative 2 — Puerto Rico goes the other way

The Title III bankruptcy court **denied** the bondholders' administrative-expense claim motion on **3/16/26**. National is the party appealing a loss. If the First Circuit affirms, the PREPA recovery assumption — worth on the order of **\$150M**, or roughly \$3/share of the upside case — comes out. And it may come out slowly: partial adverse rulings, remands, another two years. Meanwhile National paid out **\$11M (1/1/26) and \$46M (7/1/26)** in claims this year — cash leaving while the recovery argument is unresolved.

Tripwire (monitorable): First Circuit docket for case activity after the 9/15/26 argument; the custodial receipt prints. If the receipts trade well below ~\$0.60 on the dollar, the recovery leg is impaired and we should hear it from the tape before we hear it from the court.

Failure narrative 3 — The regulator simply never says yes (NO TRIPWIRE)

The New York Department of Financial Services decides — for reasons of institutional caution, a change of superintendent, or a policy view about municipal-insurance capital that never appears in writing — that National's capital stays where it is. No extraordinary dividend, no approval of a sale, no order, no filing, no press release. The stock drifts down for years as the market slowly concludes the capital is trapped, and there is no single day on which we could have known.

We cannot monitor this. There is no docket, no form, no disclosure obligation attached to a regulator *declining* to act. The precedent is sitting in this very company: NYSDFS has withheld approval of surplus-note interest payments **since January 2013** — thirteen years — and no filing ever announced that decision; it is inferable only from the absence of payments.

Unknown-unknown class: discretionary regulatory posture with no disclosure obligation. Sub-classes we would also be blind to: a change in the NY superintendent or the state's political posture toward insured-muni capital; a confidential supervisory letter restricting National; a private determination that National's single-risk-limit non-compliance (real, and confirmed in the filing) matters more than the filing's stated consequence implies.

The reflexive / structural leg

- **Our size is irrelevant to the market and that is a warning, not a comfort.** At the desk's current NAV, 0.25% is roughly **\$2,600 — about 530 shares**. Against MBI's daily volume that is a rounding error. We cannot move this stock and we cannot exit into a gap either way; whatever happens to the price is entirely other people's flow. **Caveat: MBI's average daily volume is UNVERIFIED — IBKR market data was permission-denied to both benches, so this is an inference from a \$250M market cap, not a measurement.**
- **We are not bidding into our own predicted flow.** Nothing about this position creates the flow it depends on.
- **We may be over-exposed to Puerto Rico across sleeves.** The desk runs a municipal sleeve. If that sleeve holds Puerto Rico paper or insured municipal bonds, MBI is not a diversifying position — it is the *same* First Circuit ruling, levered. **This has not been checked** and must be before any order stages.
- **Our own doctrine may be manufacturing this position.** The desk's "clean-court minimum-starter" rule says that walking away requires a *named damage kill*, and the blue bench explicitly invoked it: no bench named damage, therefore starter. But red's case was never "this company is impaired" — it was "the conversion takes a decade and nothing dated resolves." Our rule has no clean category for *time* as a kill, so timing objections get converted into "size it smaller" rather than "don't." A rule that can only ever output a starter is not a filter. This deck should be adjudicated with that pressure named out loud.

If this position loses money, the most likely reason will be that National's capital never converts on a tradeable timeline — the regulator quietly never approves, no buyer emerges, and we spend years holding a correctly-priced slow asset while the discount we thought we were buying turns out to have been the fair cost of waiting.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The \$3.6B debt stack is a consolidation artifact of securitization vehicles MBIA doesn't own	Red bench pulled the 10-Q balance sheet and the FY25 10-K debt note	False. Vehicle debt is \$30M of \$3,595M (0.8%) . The stack is \$2,621M of MBIA Insurance Corp surplus notes + \$228M of parent debentures	NO — this was OUR OWN blue bench's central argument and it was flatly wrong. The entire perimeter rebuttal in the original brief was built on a misread
Those surplus notes therefore stand ahead of our equity	Blue re-checked corporate structure against the 2009 restructuring PR and 10-Q language	False as stated. They are obligations of a <i>sister</i> entity; no cross-defaults; National sits under MBIA Inc. directly	NO — this was OUR OWN red bench's "strongest single kill" and it does not reach National. Red's own valuation table proves it: red subtracted the \$228M of parent debentures and <i>zero</i> of the \$2,621M it had just called fatal
9/15/26 is a tradeable catalyst	Red read the Business Developments note in the 10-Q	False. The court denied the motion on 3/16/26; National is the appellant; 9/15 is oral argument, not a decision. Opinions follow by months	NO — OUR OWN blue brief put a gate on a non-event. Red was right; blue conceded in full
Upside of \$135–175M from Puerto Rico	Red checked it against the balance-sheet ceiling	Total US public-finance loss reserves are \$213M ; the original arithmetic never touched that constraint	PARTIALLY — a real blue-bench error (unbounded arithmetic), but red's \$213M ceiling was itself too tight: reserves cap <i>reserve release</i> , not recovery. Claims already paid sit in a separate recoverable that marks up independently. Corrected ceiling ≈ \$190M gross,

Claim	How checked	Found	Confirmed?
“\$390M gross par” vs “\$554M insured debt service” is a disclosure inconsistency	Blue checked the definitions	Not an inconsistency. Debt service = principal plus future interest; \$554M > \$390M is arithmetically required National complies with aggregate limits, not with certain single-risk limits. But the filing’s own stated consequence is that the regulator “<i>could prevent National from transacting any new financial guarantee insurance business</i>” — and National writes no new business. Multi-year boilerplate	undiscounted, over years NO — OUR OWN red bench flagged a false positive and tagged it as a venue divergence. Our artifact detectors produced a phantom
National is in breach of risk limits — a clean severance of the value chain	Blue pulled the actual filing language	“<i>could prevent National from transacting any new financial guarantee insurance business</i>” — and National writes no new business. Multi-year boilerplate	CONFIRMED as a fact, DOWNGRADED to irrelevant. Red called it the cleanest kill; the consequence is null
\$30M of Puerto Rico claims moved to a custodian = management selling out	Blue checked what a custodial receipt actually is	It is ~8% of the claim, and it is equally a price-discovery instrument	PARTIALLY — red read an option as a decision. But red’s underlying observation is fair: you don’t build a sell rail for something you’re certain about
Management thinks the stock is cheap	Q2’26 earnings release	\$71M buyback authorized, zero shares bought, 3.8% off the 52-week low	CONFIRMED — the strongest surviving bear point, and neither bench found a full explanation
Share count	10-Q cover page, 7/31/26	51,016,444 — the evidence pack’s XBRL share count was stale (2025-06-30)	CONFIRMED, pack superseded (both benches caught this independently)

Claim	How checked	Found	Confirmed?
Surplus note principal / accrued interest	Both benches, primary filings	Red: \$940M par / \$1,681M interest. Blue: \$953M par / ~\$1.6B interest at 7/15/25	DISPUTED between our own benches, ~1–5% apart. Immaterial to the conclusion, but unresolved
Price / tape behavior — is this a gap or a grind?	Attempted via IBKR bars	Could not check. Market-data tools were permission-denied to both benches	NO — open coverage gap. All tape work in this deck rests on the evidence pack plus one public close
National's actual dividend capacity	Should have been checked in National's standalone statutory statement filed with NYSDFS	Neither bench read it. Both reasoned from the statutory formula instead of the filed numbers	NO — this is the single most closable gap in the deck and it is the document that governs the whole thesis

PROPOSED ENTRY BANDS

All levels derive from the benches' own corrected arithmetic, not from chart levels.

The valuation anchors - \$14.51/share — National statutory capital \$968M less parent debentures \$228M, divided by 51.02M shares, undiscounted. The roof. Not a target. - **\$5.39/share** — the same \$740M discounted five years at 12%, net of ~\$40M/year parent carry. **This is the base case and the tape is 9% below it.** - **\$7.35/share** — requires the market to credit roughly 51% of full release, i.e. conversion inside ~2.5–3 years, **or** a Puerto Rico recovery of ~\$150M on top of the base case. - **\$4.90** — today. Prices ~34% of the roof, ~91% of the base case.

Starter (proposed, not armed) - BUY 0.25% of book at ≤\$5.10. At \$4.90 that is roughly **\$2,600 / ~530 shares** at current NAV. Sized as a lottery ticket on timeline compression, not as a value position — because at a 9% discount to base case, it isn't one. - Order type: limit, day, no resting good-till-cancelled order. There is a court argument on 9/15 and an earnings print in November; a standing bid into either is an accidental short-volatility position.

Add A — news-gated (up to +0.25%, total 0.50%) - Trigger: the **First Circuit issues an opinion** reversing or favorably remanding the 3/16/26 denial. Price limit ≤\$6.50 — pay up for resolved uncertainty, but not past base-case-plus-20%. - Explicitly **not** gated on the 9/15 argument. Nothing is decided that day.

Add B — price-and-quality gated (up to +0.25%, total 0.75%) - Trigger: price ≤\$4.30 AND the next 10-Q shows **National statutory capital flat or higher** AND **parent liquidity ≥\$300M**. Averaging down only if the balance sheet has not degraded — a lower price with a worse balance sheet is information, not a discount.

Hard ceiling: 0.75% of book until one of: a disclosed DFS approval of an extraordinary dividend, a disclosed sale process for National, or an executed buyback. Any of those unlocks a re-underwrite for a larger position.

Trims and exits - Trim half at \$7.35. Above both surviving analyst targets and requires the market to have compressed the timeline to under three years. Sell the compression when it's paid for. - **Exit remainder at \$8.26** (the 52-week high; ~55% of the roof credited). - **Exit on thesis break, regardless of price:** parent liquidity below \$250M; National statutory capital down two consecutive quarters; or the First Circuit **affirms** the denial with no further appeal available. - **No price stop below.** Price alone is not information in a capital-conversion thesis; a drift to \$4.50 tells us nothing new. But **re-underwrite from scratch at \$4.00** (-18%) — at that point the market is saying something we don't understand.

Catalyst dates - 2026-09-15 — First Circuit oral argument, PREPA administrative-expense appeal. CONFIRMED NON-RESOLVING. A calendar entry, not a catalyst. No position sizing should key off it. - **First Circuit opinion — DATE UNKNOWN.** Historically months after argument. This is the actual tradeable gate. Estimated window Dec 2026–Jun 2027, **UNCONFIRMED and not a scheduled date.** - **2026-11-03 — Q3 earnings. UNCONFIRMED** (derived from a data vendor, not a company announcement). ~50 trading days out. Watch: parent liquidity, National statutory capital, PREPA reserves, buyback activity. - **~2026-11-15 — National's Q3 statutory statement** (filed with NYSDFS, posted to MBIA's investor site). Date approximate. **This is the document that actually governs dividend capacity and neither bench has read it.** - **2027 — \$95M 7.15% parent bond matures** (month unverified). Followed by \$112M 6.625% in 2028 and \$21M 5.70% in 2034.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.0 (deck-provisional: Re-underwrite from scratch; at -18% the market is asserting something the thesis does not model)
- filing watch: 8-K until 2027-02-18 (deck-provisional: DFS extraordinary dividend approval, National sale process, buyback execution, or change in National's)
- dated pack MBI|2026-09-15: MBI: First Circuit oral argument, PREPA administrative-expense appeal — CONFIRMED NON-RESOLVING; no ruling issues that day (date confirmed=T)
- dated pack MBI|2026-11-03: MBI: Q3 2026 earnings — vendor-derived date, not company-announced; watch holdco liquidity, National statutory capital, PREPA reserves, buyb
- dated pack MBI|2026-11-15: MBI: Approximate filing window for National's Q3 statutory statement with NYSDFS — the real dividend-capacity document (date confirmed=False)
- dated pack MBI|2027-03-31: MBI: Placeholder for the First Circuit opinion; true date UNKNOWN, estimated Dec-2026 to Jun-2027 from generic appellate timing, not measure

What remains unverified

1. **National's actual dividend capacity.** Both benches computed the *formula* (lesser of 10% of policyholders' surplus $\approx$ \$97M, or 100% of trailing adjusted net investment income, estimated \$50–70M). Neither read the filed statutory statement that contains the real inputs. The single largest open item.
 2. **Everything about the tape.** IBKR market data was permission-denied to both benches. Average daily volume, bid-ask spread, whether the decline to \$4.90 was a gap or a grind, whether \$4.72 has been tested repeatedly — all unverified. Our impact and liquidity assumptions are inference.
 3. **The Advances Agreement's magnitude.** National may lend to MBIA Inc. at SOFR + 0.512%. Whether that is a \$10M facility or a \$500M one changes the timeline materially. Unread.
 4. **Intercompany surplus notes held by MBIA Inc.** (\$13M as of FY2012). Current amount unknown; would partially offset the sister-entity liability.
 5. **The exact surplus-note figures.** Our two benches disagree (\$940M/\$1,681M vs \$953M/~\$1.6B). Immaterial to the conclusion; unresolved as a matter of record hygiene.
 6. **Why management has not bought a single share** against a \$71M authorization. The \$46M July claim payment and the 2027 maturity are partial explanations, not a complete one.
 7. **The First Circuit's timing.** No estimate here is grounded in that court's actual median time-to-opinion for Title III appeals. We asserted “months”; we did not measure it.
 8. **Whether the custodial receipts will trade at all**, or in any venue we can observe.
 9. **The 11/3/26 earnings date**, which is vendor-derived and has not been confirmed by any company announcement.
 10. **Portfolio correlation** with the existing municipal sleeve. Unchecked, and a genuine pre-condition.
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Why immediate_entry is null: the verdict line says PENDING ADJUDICATION and that is not a formality here. The benches split hard — red REJECT at 8/10, blue starter at 7/10 — and the deck's own error table shows both of them got load-bearing structural facts wrong in opposite directions. Three things should close before a fill: National's statutory statement (the document that governs the thesis), the muni-sleeve Puerto Rico overlap check, and at least the First Circuit docket sensor armed. The 0.25% starter at ≤\$5.10 is proposed and fully specified above so adjudication can approve it as written — it just should not auto-stage off this fence. ## Adjudication & update (2026-08-23)

RULING: MINIMUM STARTER 0.25% at ≤\$4.90, DAY-only — red’s strongest kill structurally misdirected. The \$2,621M surplus notes red called “a real claim ahead of equity” are obligations of MBIA Insurance Corp, a *sister* entity severed from the National chain — the 10-Q states verbatim there are no cross-defaults and no dividend reliance, and NYSDFS has blocked surplus-note interest since Jan-2013. The internal contradiction was dispositive: **red’s own prize table subtracted only the \$228M holdco debentures and not one dollar of the notes its prose called the strongest kill.**

Sustained from red (its best work): 9/15 is oral argument and resolves nothing — the undated First Circuit *opinion* is the real gate; and the \$4105 dividend ladder makes the \$968M release a decade-plus absent a sale. Blue’s discounted base ≈ \$5.39 vs \$4.965 tape (thin margin → floor size); \$14.51 undiscounted roof. Street kill overturned per §DIVERGENCE-NOT-COVERAGE (two analysts at \$7.00 = +43% divergence, not agreement).

Instruction status: instr #101 — BUY 530 MBI LMT \$4.90 DAY — awaiting principal click. (IDs recycled 8/22: the older #101 was PPHC, now a live order. This #101 is MBI.) **DAY-only, no GTC ever** — the opinion can drop any day post-9/15; a resting bid is a resting order into an undated print. Adds to 0.5% on opinion-reversal OR custodial receipts ≥\$0.70. Kills: affirmance → exit-review same week; receipts <\$0.50; holdco liquidity <\$120M; any DFS action against National’s dividend capacity. **Tranche 2 is BLOCKED until National’s standalone statutory filing — the actual dividend-capacity document neither bench read — is pulled and read** (unverified_ledger item, Q3 statutory date as resolver).

What could go wrong — adjudication pre-mortem (verbatim) and deltas vs this deck’s own block

1. **Tripwire-less (legal-drafting class).** The First Circuit can affirm on *reasoning* that poisons the separate lien-priority track — an opinion’s rationale can be worth more than its holding, and no sensor reads rationale in advance. We learn when the opinion drops, after the tape does.
2. **Time itself.** DFS never grants extraordinary relief, no sale process appears, the \$4105 ladder runs 15+ years while the holdco burns \$40M/yr — a melting-ice-cube option with no expiry we chose. The only sensor is annual statutory filings; the decay is unsensored between them.
3. **Reflexive/structural.** 51M shares, two analysts, thin float: our own exit crosses a wide spread, and the marginal seller may be National’s own custodial receipts — if they print low, the external anchor we wanted becomes the market’s kill evidence before we can act on it. Also: both benches read the *consolidated* filings; nobody has read the one document (National’s statutory statement) that governs the thesis’s cash mechanics.

“If this position loses money, the most likely reason will be that the First Circuit opinion lands adverse and undated — the calendar we bought for September turns out to be next spring, and the holdco burn plus a low custodial-receipt print grind the tape below \$4 before any conversion story can restart.”

Deltas vs the deck’s pre-mortem above (complementary, not conflicting): the deck’s most-likely-loss is the *slow* mode (regulator quietly never acts, correctly-priced slow asset); the adjudication’s is the *event* mode (adverse undated opinion + burn grinding the tape). Both stand — they bracket the loss distribution rather than disagree. The deck’s “regulator never says yes” narrative remains the strongest statement of the no-tripwire

class and is not superseded. The adjudication partially answers the deck's doctrine-pressure note ("time has no kill category"): the floor size (0.25%, zero-carry/undated — "the BAVA logic at half the conviction") is the rule's current answer to time-as-risk; the structural critique stays on record.

Outstanding check the deck demanded that remains OPEN: Puerto Rico overlap across sleeves. The deck required verifying the muni sleeve holds no PR/insured-muni paper exposed to the same First Circuit ruling *before any order stages*. The adjudication did not run this check and an instruction is now staged — **run the overlap check before clicking #101.**